THE BIG LETDOWN

₹10.7
lakh crore
Payments pending to MSMEs during 2020-21; 80% of this, **Rs 8.55 lakh cr.**, is owed to MSEs

164,280
complaints*
filed under the MSME Samadhaan scheme. Amount involved: **Rs 39,015 cr.**

63.4
million
No. of MSMEs in India; **99%** are micro enterprises

120
million
No. of people employed in the MSME sector

*as of Nov. 7, 2023



CHANDRADEEP KUMAR

DINESH SINGHAL
Kanohar Electricals, Meerut

Issue: **Wrongful termination of railway electrification project by Central Organisation for Railway Electrification (CORE)**

Project cost: **₹49 crore**

Payment due: **Since 2017**

"A businessman cannot do business in India if he doesn't know the law"

Dressed in a white linen shirt, Dinesh Singhal, the founder of power transformers manufacturing company Kanohar Electricals, is carrying an unusual document, a copy of the Arbitration and Conciliation Act, 1996. Ask him about it and he says, "A businessman cannot do business in India if he doesn't know the law. I can recite the entire Indian Contract Act verbatim now." The 67-year-old entrepreneur was in Delhi to attend a high court hearing in a case he had filed against the Central Organisation for Railway Electrification (CORE). They had cancelled a railway electrification contract worth Rs 49 crore with his company after just nine months without even giving his firm a hearing. CORE has denied these statements, saying they were factually incorrect and claimed that both notices—of seven days and 48 hours—were given.

Kanohar has made several representations to the Railways, but got no response. On appeal, the Punjab and Haryana High Court ruled in his favour in December 2017 and asked the railways to give the firm a hearing. However, the latter not only did not comply, but also encashed the Rs 3 crore in BG (buyer's guarantee, the amount a supplier has to deposit with the buyer), and issued a new tender for the same work at 25 per cent higher cost and a longer tenure. Today, five years and 30 hearings later, Singhal is still fighting the case. And it isn't the only one: he has two others in the Delhi HC, and one each in the Nainital and Lucknow HCs (all against state electrical utilities and PSUs).

Singhal's story is not an isolated one. This is the sorry state of MSME entrepreneurs across the country who find themselves entangled in legal battles with corporate/ PSU clients on a variety of issues, from payment delays to lack of contract enforcement to poor quality of supplies. The irony is that India's 63.4 million MSMEs (micro, small and medium enterprises) are the backbone of the economy, contributing 30 per cent to the country's GDP and 45 per cent to its exports. The sector is also India's second largest employer after agriculture, providing jobs to around 120 million people. India may have improved its position in the World Bank ease of doing business rankings from 134 in 2014 to 63 in 2020, but enforcement of contracts is another story. The ranking of 186 in 2014 moved up slightly, to 163 in 2020.

"Micro and small manufacturers especially lack bargaining power when dealing with large buyers, be it government or private," says Anil Bhardwaj, secretary-general of the Federation of Indian Micro, Small & Medium Enterprises (FISME). "Instead of building a long-term relationship with suppliers, larger companies exploit their leverage and arm-twist smaller players into agreeing to terms that are exploitative."

PAYMENT DELAYS

To protect their interests, the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, specifies that payments must be made to MSME suppliers within 45 days of receipt of goods or services. Union finance minister Nirmala Sitharaman addressed the issue of delayed payments in her budget speech this year, suggesting that companies claim deduction not